

Residual Income · EVA · Free Cash Flow — Diamante Mind Map

Calculation format · when to use · **fully explained** pros & cons, each tied to Diamante — for the proposed long-term incentive scheme

DIAMANTE — VALUE & CASH MEASURES

two mines (each a CGU) · R1.7bn loss · refinancing pending · bonuses paused · new LTI scheme tabled

1 · Residual Income (RI)

RI = NOPAT - (WACC × net investment) · the rand profit left after charging the manager for the capital they use.

Diamante group: $(979) - 12\% \times 4\,419 \approx \textbf{(R1 509m)}$ → value is being destroyed.

When to use for Diamante: reward each **mine manager** on the value their own mine adds above its capital charge.

PROS — EXPLAINED FOR DIAMANTE

Rewards value above the cost of capital, not just profit.

- A manager is only rewarded once they earn more than the cost of the money tied up in their mine.
- This is better than a profit target, which ignores how much capital was needed to make that profit.
- It pushes Diamante managers to use the mine's assets efficiently, not just chase output.

Fixes the weakness of a percentage return such as ROI.

- Under a percentage measure a high-returning manager rejects a good project because it lowers their average.
- RI accepts any project earning above the capital charge, so good projects are not turned away.
- Diamante cannot afford managers to reject value-adding projects just to protect a ratio.

A negative RI is an honest signal of value destruction.

- If RI is negative the manager has not covered the cost of capital, so no bonus is justified.
- Diamante's group RI of about -R1.5bn openly supports the board's decision to pause bonuses.

Can be applied to each mine separately.

- Each of the two mines is already a separate CGU with its own assets and results.
- So a per-mine RI can be built from information Diamante already prepares, with no new systems.

CONS — EXPLAINED FOR DIAMANTE

It is an absolute rand figure, so sizes are hard to compare.

- A larger mine shows a bigger RI simply because it is bigger, not because it is better run.
- Mine 1 and Mine 2 are different sizes, so a straight RI comparison could reward size over skill.

It still relies on accounting profit, which is distorted.

- RI starts from NOPAT, an accounting number affected by one-off items.
- This year includes a R963m impairment and a R405m Botswana disposal profit, which would badly distort RI.
- These one-off items must be removed first, otherwise a manager is rewarded or punished for events they did not control.

It depends on a WACC that is hard to pin down now.

- The capital charge needs a WACC, which depends on the company's debt/equity mix.
- Diamante's refinancing is unresolved, so its WACC is uncertain and the charge is arguable.

A manager can make the number look better by spending less on the mine's assets.

- The capital charge is based on the assets used, so a manager can lower it by delaying capital spending or not replacing worn-out assets.
- In deep-level mining this is dangerous, because deferred capital spend creates safety and production problems later.

Verdict: a good per-mine value measure — but first remove the one-off impairment and Botswana profit, and set a separate cost of capital for each mine.

2 · Economic Value Added (EVA)

$EVA = (NOPAT \pm \text{adjustments}) - WACC \times (\text{net investment} \pm \text{adjustments})$ · RI with adjustments so the numbers reflect economic, not accounting, reality.

Diamante: add back the R963m impairment and capitalise mining leases → ≈ (R1 500m).

When to use for Diamante: reward the **executives** on long-term group value, with a **bonus bank** that forfeits in negative years.

PROS — EXPLAINED FOR DIAMANTE

Purpose-built to measure shareholder value.

- EVA was designed to line managers up directly with the owners of the business.
- That is exactly the aim of Diamante's new scheme, because shareholders need value rebuilt after heavy losses.

Its adjustments remove accounting distortions.

- EVA lets you add back accounting-only items, such as the impairment, and capitalise items like equipment leases.
- Adding back the R963m impairment shows Diamante's underlying performance, not a number dominated by a write-down.

The adjustments discourage damaging short-termism.

- Spending with a lasting benefit is capitalised, not expensed at once, so a manager is not punished for investing.
- This stops a Diamante manager cutting essential mine development or maintenance just to make this year's figure look better.

A bonus bank can be attached.

- Part of the bonus is held back and forfeited in years when EVA is negative.
- This fits Diamante, where bonuses are already paused, so rewards are only released once real value returns.

CONS — EXPLAINED FOR DIAMANTE

The adjustments are complex and judgemental.

- Deciding what to capitalise, over how long, and which provisions to add back all involve estimates.
- This makes EVA harder to calculate and explain, and it can be disputed by the managers being measured.

That judgement can be used to make the result look better than it really is.

- Because the adjustments involve opinion, a board that wants to justify a bonus could choose adjustments that make the result look better.
- For Diamante, designing a scheme under pressure, this weakens the objectivity a good KPI needs.

It is very sensitive to the cost of capital.

- A small change in WACC moves the capital charge and can flip EVA from positive to negative.
- With the refinancing unresolved, Diamante's WACC is unstable, so the EVA could be argued either way.

Many classic adjustments add little for a miner.

- EVA's well-known brand and research adjustments suit consumer or technology businesses.
- Diamante's value lies in its ore bodies and operations, so much of the extra complexity buys little here.

Verdict: the best long-term executive measure — but only once the cost of capital and the adjustments are set by someone independent, so they cannot be adjusted to justify a bonus.

3 · Free Cash Flow (FCF)

Simple FCF = cash from operations – sustaining capital expenditure · the real spare cash left after keeping the assets going.

Diamante proxy: adjusted EBITDA ≈ **R207m** (more than halved from R540m) before capex.

When to use for Diamante: the headline measure now — reward the cash that funds the **refinancing** and keeps the company solvent.

PROS — EXPLAINED FOR DIAMANTE

Rewards the actual cash the business generates.

- Cash, not accounting profit, is what pays debts, funds investment and keeps a company solvent.
- Diamante is loss-making and refinancing, so cash generation is the most important thing management can deliver.

Much harder to manipulate than profit.

- FCF is based on real cash movements, so it cannot be made to look better using accounting entries.
- It avoids Diamante's big non-cash distortions this year — the R963m impairment and the R405m Botswana profit.

It can carry a meaningful, motivating target.

- A profit-growth target is meaningless in a loss, because there is no profit to grow.
- Diamante's cash is still weakly positive (≈ R207m), so a realistic, stretching cash target can be set.

Aligns managers with the most urgent priority.

- The board's immediate concern is the refinancing and remaining a going concern.
- Rewarding FCF points every manager at that same goal, which is what an incentive scheme should do.

CONS — EXPLAINED FOR DIAMANTE

It is depressed by the heavy capex mining needs.

- Deep-level mining needs large, ongoing capital spend just to keep operating.
- That spend is subtracted in FCF, so a well-run Diamante mine can still show low FCF simply for being capital-intensive.

A manager can boost it by cutting essential spending — which is dangerous here.

- A manager can boost this year's FCF by deferring capital projects, maintenance or safety spending.
- In deep mines this risks stoppages, injuries and lost production later.
- So essential capital and safety spending should be protected and kept out of the manager's control of the number.

It swings with the uncontrollable diamond price.

- Much of Diamante's cash flow depends on the rand diamond price, which is set by the market.
- By the controllability principle a manager should not be judged on price moves, so FCF needs benchmarking against the price.

Focusing only on this year's cash can leave too little for long-term investment.

- Chasing this year's cash can lead managers to under-invest in developing the ore bodies.
- So FCF should be paired with RI or EVA, so survival is rewarded without sacrificing long-term value.

Verdict: the priority KPI for survival — but protect essential capital and safety spending, and compare against the diamond price, so managers cannot make the number look better than reality.

NOPAT & net-investment conventions and the RI/EVA method are from the IAC MAF performance-evaluation notes; Diamante figures are illustrative from the draft pre-release (group loss R1 719m, finance cost R378m, net investment ≈ R4 419m, assumed WACC 12%, adj. EBITDA R207m). Recommended blend: FCF for survival (headline) + per-mine RI + a banked group EVA for executives, with the one-off items removed, the cost of capital set by someone independent, and essential capital spending protected.